INVESTMENT COMMITTEE MEMO

Nippon Television Holdings, Inc.

TSE: 9404 - Japan's #1 broadcaster for free: cash, bonds and a ¥418bn Recruit stake exceed the market cap, and the Recruit rally forces a capital-policy reckoning

RECOMMENDATION: BUY

12-MO TARGET: ¥3,650 (+21%)

Reference price	52-wk range	Mkt cap	Net cash + bonds [e]
¥3,010	¥2,652-4,072	¥735bn / US$4.6bn	~¥390bn

Dividend	Controlling holder	Foreign ownership	P/B
¥45 (guide, 1.5%)	Yomiuri group 28.5% of votes	19.99% (at legal cap)	0.69x (0.62x adj.)

¥418bn

Value of the Recruit stake (~22.2m sh x ¥18,845, pre-tax) - 57% of NTV's market cap, up from 21% in March

¥767bn

Non-core assets net of minorities, after tax (cash, bonds, listed stakes, affiliates) - 104% of market cap

¥3,650

12-mo target; probability-weighted value ~¥3,652; base NAV ¥4,602/share

RECOMMENDATION

Buy: the market pays you to own Japan's top broadcaster - and the Recruit rally forces the capital question

¥735bn	35%	-¥32bn	¥3,650	25%
Market cap - below non-core assets of ¥767bn (after tax, net of minorities)	Discount to base NAV (¥4,602/share)	Market-implied value of the operating business (LTM EBITDA ¥75bn)	12-mo target (+21%); upside +63% / downside -22%	Bear-case probability we assign

Why now - four forces converging

- **Recruit tripled:** ¥6,526 -> ¥18,845 since March; NTV's ~22m shares (cost ~¥300) now ¥418bn - adds ~¥650/share after tax while NTV fell 5%
- **Cross-holding problem is now acute:** listed stakes ~41% of net assets vs own <20% MTP target and ISS's 20% line; ~25% votes already against Chairman/CEO
- **Earnings trough, conservative guide:** FY3/27 OP guide ¥49bn (-29%: World Cup, Fuji normalisation); initial guides beaten by 26-31% in each of the last 2 years
- **Stock-specific de-rating:** -27% from Sep-25 high; 1-yr TSR -18% vs TOPIX +28% - worst of the key-station group

What has to go right

- Recruit sell-down continues and proceeds go to buybacks / special dividends, not M&A
- Spot advertising stabilises in 2H FY3/27; guidance beaten again
- Recruit holds above ~¥12,000 (or we hedge it)
- Yomiuri accepts a higher total return than the current >=35%

Position sizing: event-driven, medium conviction. ~¥1.5-1.7bn daily value traded and beta ~0.3 allow a 1-2% position over 4-6 weeks. To isolate the NAV discount, short ~0.06 Recruit shares per NTV share (after-tax exposure): the remaining 'stub' of ~¥1,820/share is covered by ¥1,590/share of net cash and bonds alone.

NTV at a glance - a top-tier broadcaster with an investment portfolio bigger than itself

What it does

- Owner of Nippon TV, Tokyo key station of the NNN/NNS network (~30 affiliates); #1 key station by ad revenue and #1 in 13-49 'core' ratings for 13 years
- FY3/26: sales ¥484.4bn, OP ¥69.3bn (record, 14.3% margin), NI ¥56.8bn, ROE 5.8%, P/B 0.69x
- Sales mix: advertising 54% (time ¥104bn, spot ¥128bn); content 29% (Ghibli, Hulu Japan, anime, licensing); goods & events 11%; Tipness 6%
- Customer concentration: Dentsu 25.2% + Hakuhodo 15.5% = 40.7% of sales; no advertiser >10%
- Studio Ghibli consolidated (42.3%) since Oct-2023; KANAMEL (ex-AOI TYO, ad production) 100% since Apr-2026

By segment - FY3/26 (¥bn)

Segment	Revenue	OP	Margin	Trend
Media & Content	452.9	67.1	14.8%	Spot windfall FY3/26; 1Q FY3/27 OP -37%
Wellness (Tipness)	27.7	-0.1	n/m	Break-even; negative equity ¥19.4bn
Real estate	11.6	4.1	35.8%	Mostly intra-group rent
Eliminations	-7.7	-1.9		
Group	**484.4**	**69.3**	**14.3%**	**FY3/27 guide OP ¥49.0bn**

Source: S&P Capital IQ segment data; FY3/26 yuho.

The single most distinctive fact: NTV's market cap (¥735bn) is less than its net cash (¥191bn) plus bonds (~¥200bn) plus listed stakes after tax (~¥355bn). On the P&L it looks like an ordinary 12x P/E media stock; on a sum-of-the-parts basis the most profitable broadcaster in Japan comes for free.

CONTEXT

From P/B 0.32x (2022) to 1.02x (2025) and back to 0.66x - while the assets per share rose



Source: S&P Capital IQ (no splits). Weekly volume for 2016-21 approximated from monthly volume.

Key catalysts

- **Dec 2022** P/B record low 0.32x
- **Sep 2023** Ghibli control: +13.5% day
- **Feb 2024** First buyback, dividends on refused foreign shares: limit-up +22.8%
- **Jan 2025** Fuji TV sponsor exodus: +16.5% in 4 weeks
- **Sep 2025** All-time high ¥4,146 (P/B 1.02x)
- **Feb 2026** Q3: no raise at 92% progress: -6.1%
- **Mar-Apr 2026** KANAMEL ¥39bn cash
- **May 2026** FY3/27 OP guide -29%; ¥12bn buyback
- **Mar-Oct 2026** Recruit +189%

Beta ~0.3 to TOPIX: the stock trades on company and sector events. The Sep-25 -> Jun-26 drawdown (-35%) happened while TOPIX rose 29% and Fuji/TBS rose ~10%.

Headline multiples look ordinary; the cheapness appears only when the balance sheet is counted

Metric	NTV	Fuji Media	TBS	TV Asahi	TV Tokyo	ITV	TF1	Fox	Toho
EV/Sales (S&P)	1.20x	1.92x	2.16x	0.78x	0.31x	0.88x	0.41x	1.76x	3.76x
EV/EBITDA	7.8x	30.6x	23.3x	7.5x	3.5x	5.9x	4.3x	7.8x	18.1x
EBIT margin	13.0%	3.4%	4.9%	6.1%	5.9%	13.6%	8.8%	20.3%	16.3%
P/E LTM	11.4x	38.5x	18.8x	11.6x	13.6x	10.4x	9.9x	15.8x	36.4x
P/B	0.69x	1.12x	0.57x	0.69x	0.86x	1.40x	0.63x	2.29x	2.66x
Inv. securities / mkt cap	92%	61%	190%	69%	32%	-	-	-	-
Div. yield	1.5%	4.7%	1.7%	2.8%	3.9%	7.7%	10.8%	0.9%	1.3%

LTM to Jun-2026, prices 21-Oct-2026. S&P TEV deducts cash and ST securities only - not investment securities. Source: S&P Capital IQ.

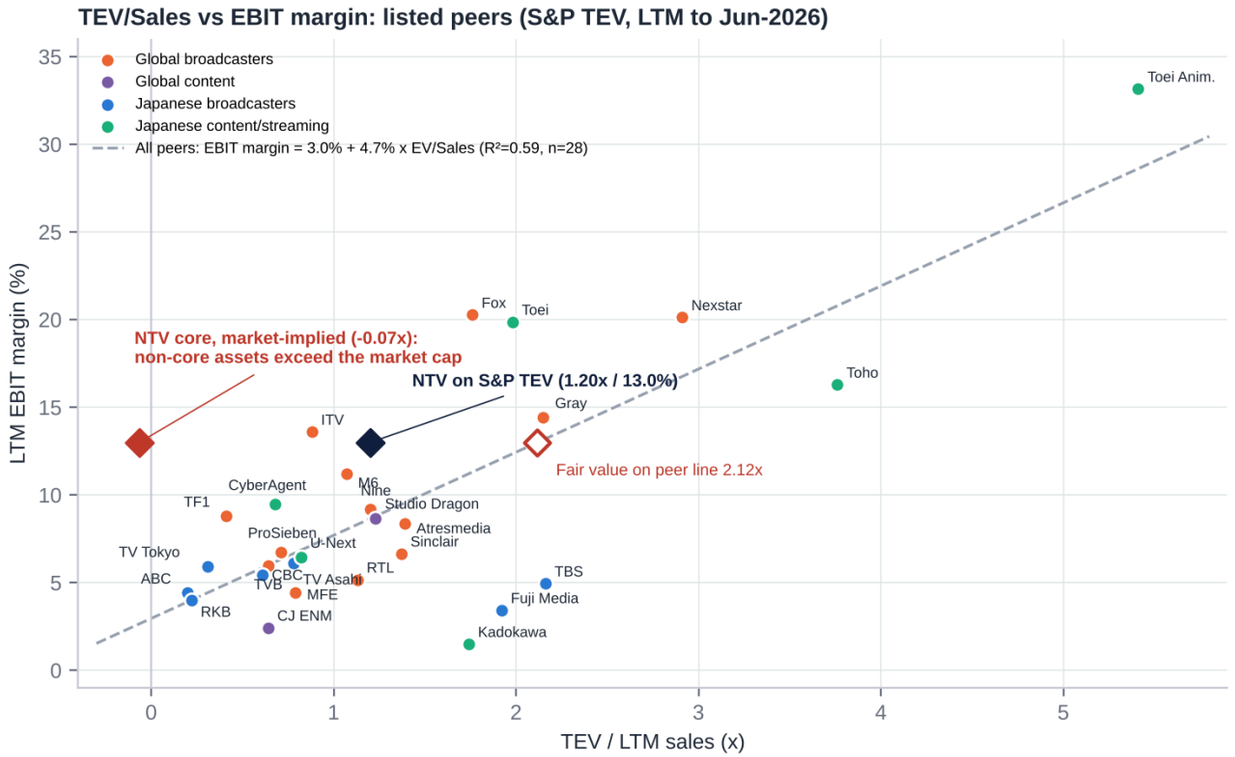
What the comparison shows

- Highest margins among Japanese broadcasters (EBIT 13.0% vs 4.9% median); cheaper than the key-station trio on EV/EBITDA (-67%) and P/E (-40%)
- On P/B (0.69x) and forward P/E (12.8x) NTV is in line - the headline multiples look ordinary
- After deducting investment securities, adjusted EV is negative (-¥93bn pre-tax; ~1.5x EBITDA after a 30% tax haircut)

The honest counter-read

- Recurring P/E (ex securities gains) is 16-18x - fair, not cheap
- Dividend yield (1.5%) is the lowest in the group; total return policy only >=35%
- Japanese controlled companies with idle balance sheets routinely trade at 30-50% NAV discounts

Regression: NTV sits below the peer line even on S&P TEV - and its core is valued below zero

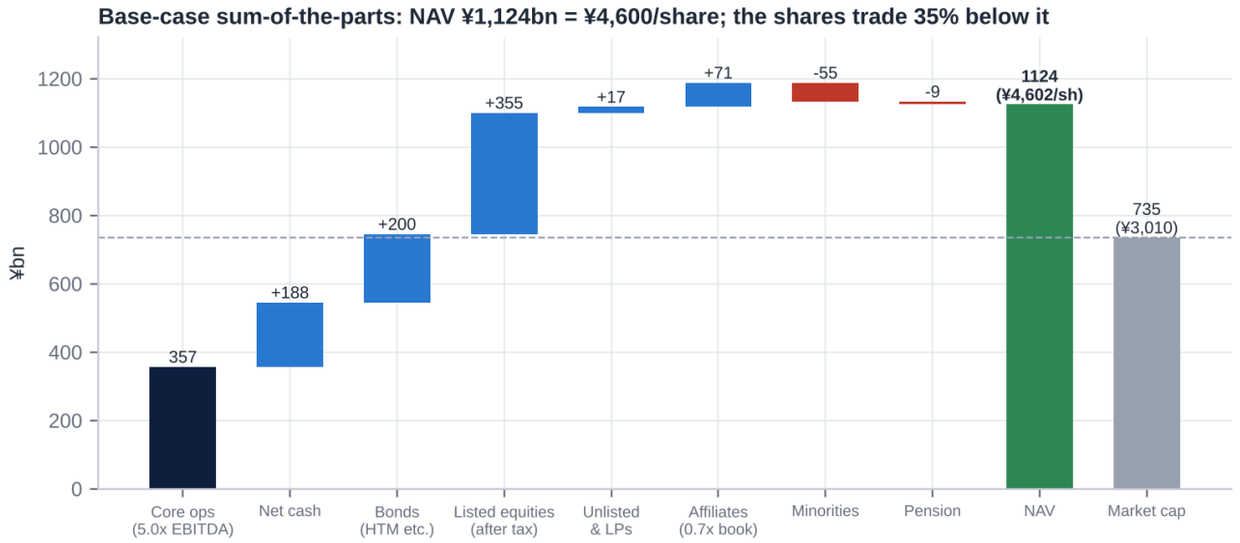


Source: S&P Capital IQ (21-Oct-2026), our calculations. Excludes Skydance (pre/post-merger mismatch) and SBS (TEV does not reconcile). NTV core = market cap less non-core assets net of minorities (base case, section 14) divided by LTM sales. Fair value = NTV EBIT margin mapped onto the all-peer line. A Japan-only fit is not meaningful (R² 0.08): S&P TEV for Japanese broadcasters is distorted by securities portfolios (TBS, CBC, RKB adjusted EVs are negative).

How to read it

- All 28 listed peers: EBIT margin = 3.0% + 4.7% x EV/Sales (R² = 0.59)
- On S&P's own TEV, NTV (1.20x / 13.0%) sits below the line: its margin maps to 2.12x
- After non-core assets, the core trades at a market-implied -0.07x - an outlier against every listed broadcaster or content company
- A Japan-only fit is meaningless (R² 0.08): securities portfolios distort S&P TEV for TBS, CBC, RKB
- We value the core at 5.0x EBITDA (~0.74x sales) - well below the peer line - to stay conservative

Sum-of-the-parts: base NAV ¥4,602/share - the shares trade at a 35% discount



Source: our estimates; S&P Capital IQ balance sheet (30-Jun-2026), FY3/26 yuho holdings, prices at 21-Oct-2026. Recruit 22.2m shares [e] at ¥18,845.
Non-core assets net of minorities = ¥767bn, above the ¥735bn market cap: the market puts a value of about -¥32bn on the operating business.

Base-case SOTP (¥bn)

Component	Method	¥bn
Core operations	5.0x normalised EBITDA ¥71.4bn	357
Net cash	Cash + ST securities - debt (Jun-26)	188
Bonds held to maturity	At book [e]	200
Listed equities	¥500bn at market, less 30.6% tax	355
Affiliates + unlisted	0.7x / 0.75x book	88
Minorities + pension	Ghibli 57.7% at market	-64
NAV / per share	**244.3m shares**	**1,124 / ¥4,602**
Target price	**Prob.-weighted scenarios**	**¥3,650**

- Non-core assets net of minorities ¥767bn > market cap ¥735bn
- Each ¥1,000 on Recruit = ¥63/share of NAV; each 1.0x on core EBITDA = ¥292/share
- At 7x (Nexstar-TEGNA) the core alone is worth ¥500bn - 68% of today's market cap

HIDDEN ASSET

A ¥418bn Recruit stake bought at ~¥300/share is now 57% of NTV's market cap

~22.2m
Recruit shares held [e] (24.4m at Mar-26; partial sale May-Jun 26)

~¥300
Cost per share - almost all value is taxable gain

¥18,845
Recruit close 21-Oct-26 (+189% since 31-Mar-26)

57%
Stake value / NTV market cap (21% in March)

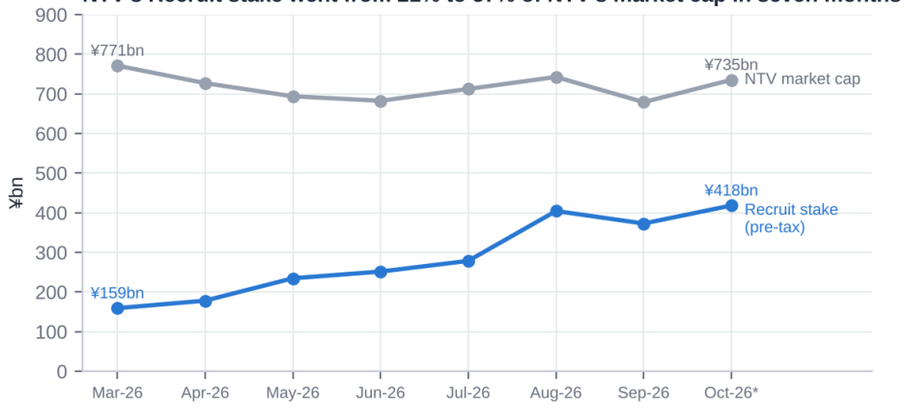
~41%
Listed stakes / net assets vs <20% MTP target and ISS 20% [e]

Recruit price and the value to NTV

Recruit	Stake (pre-tax)	After tax	% NTV mcap	NAV/sh	NAV x 0.8	Implied core
¥12,000	¥266bn	¥187bn	36%	¥4,170	¥3,336	¥+74bn
¥15,000	¥333bn	¥233bn	45%	¥4,359	¥3,487	¥+27bn
¥18,845	**¥418bn**	**¥292bn**	**57%**	**¥4,602**	**¥3,681**	**¥-32bn**
¥22,000	¥488bn	¥341bn	66%	¥4,801	¥3,840	¥-80bn
¥25,000	¥555bn	¥387bn	75%	¥4,990	¥3,992	¥-127bn

Base case (all other inputs unchanged). Implied core = market cap less non-core assets at that Recruit price.

NTV's Recruit stake went from 21% to 57% of NTV's market cap in seven months

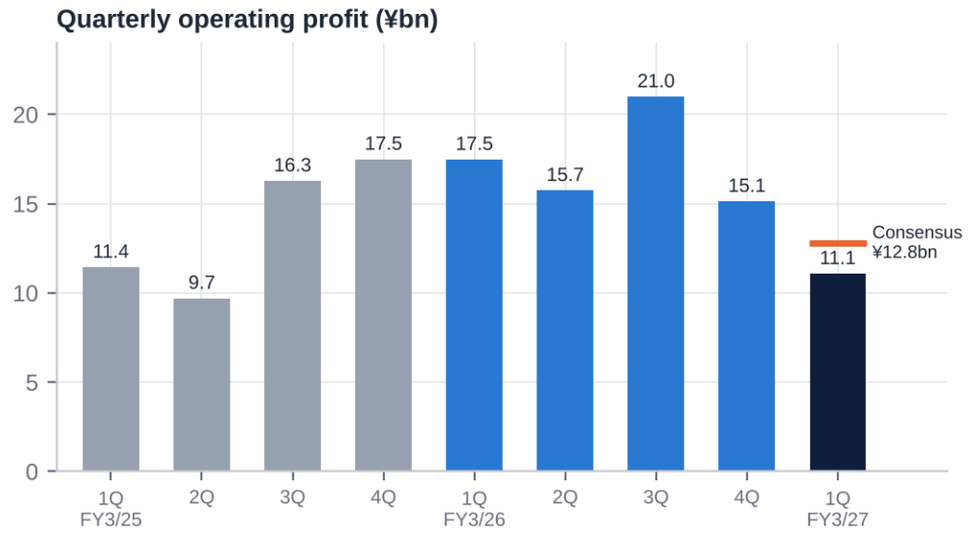


Source: S&P Capital IQ month-end prices (*21-Oct-2026); FY3/26 yuho (24.4m shares at 31-Mar-2026); 22.2m from May-2026 [e] after the ¥19.6bn-gain partial sale. Cost basis ~¥300/share, so ~30.6% tax applies to almost the whole value.

What to watch

- **Sales:** ¥8.3bn gain FY3/26, ¥19.6bn gain May-Jun 2026 (TDnet notices) - selling to 20% of net assets means ~¥250bn pre-tax / ~¥180bn after tax
- **Use of proceeds:** buybacks/special dividends vs the ¥100bn 'growth' budget (half used on KANAMEL)
- **Mutual unwind:** Recruit is selling its own 2.0% NTV stake (6.45m -> 5.16m shares)
- **Volatility:** a 30% Recruit fall costs ¥357/share of NAV - hedgeable

FY3/27 is the trough: World Cup costs and the Fuji normalisation pass, but recurring EPS is only ~¥164



Source: S&P Capital IQ. Consensus = CIQ mean (n=4). Fuji TV sponsor exodus from Jan-2025 lifted 4Q FY3/25-3Q FY3/26; World Cup costs hit 1Q FY3/27.

¥bn	FY3/26A	FY3/27E	FY3/28E	FY3/29E
Revenue	484.4	535.0	560.0	572.0
Operating profit	69.3	52.0	58.0	60.0
OP margin	14.3%	9.7%	10.4%	10.5%
NI to owners	56.8	57.4	57.0	55.0
EPS (¥)	228	234	238	236
Recurring EPS (¥)	214	164	188	200
DPS (¥)	45	45	50	55
P/E (x)	13.2	12.8	12.6	12.8

Our estimates. Company FY3/27 guide: sales ¥535bn, OP ¥49.0bn, NI ¥51.5bn. Consensus OP 55.2 / 61.5 / 62.6.

- 1Q FY3/27 OP ¥11.1bn (-37%) missed consensus by 13%; ordinary profit on track (24.8% of guide vs 24.5% 5-yr avg)
- Spot -12.2% (peers -15.9%); time +11.2% (World Cup); content +3.9%
- Value-trap scenario: proceeds recycled into M&A, recurring EPS stuck ~¥165-190, ROE ~6%

One of Japan's most over-capitalised balance sheets - and a policy that returns only 35% of profit

~¥390bn
Net cash + held-to-maturity bonds (53% of market cap)

76%
Equity ratio (Jun-26)

5.8%
ROE FY3/26 - below 7-8% cost of equity

¥29bn
Buybacks since Feb-2024 (all since 2025 cancelled)

>=35%
Total return target (MTP 2025-27); ~45% planned FY3/27

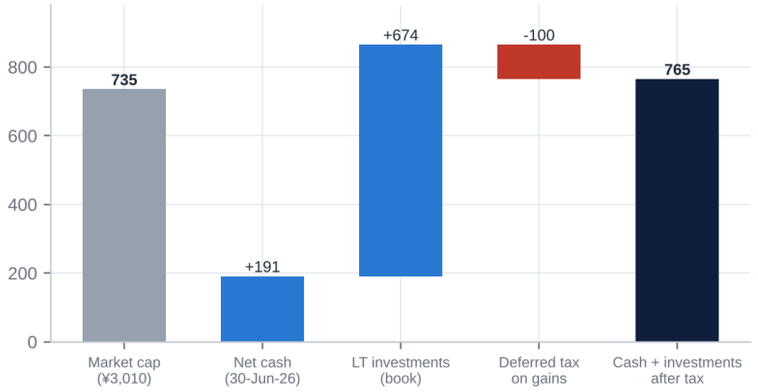
Capital-allocation record

- **Good:** Ghibli control (minimal goodwill); first buybacks with cancellation; dividends paid on refused foreign shares; Recruit sales begun
- **Poor:** no buybacks 2016-2023 at 0.3-0.6x P/B; Tipness (negative equity ¥19.4bn), la belle vie, Murayama; Hulu impaired
- **KANAMEL:** ¥49.8bn for a ~5.5% margin ad producer (~11x OP), ¥41.5bn goodwill - half the ¥100bn growth budget

Priorities we would push for

1. Recruit sell-down to <20% of net assets; 100% of proceeds returned
2. Total return >=100% of NI for FY3/27-29; DOE floor 4%
3. Cash + bonds cut to a ~¥100bn operating buffer
4. ROE >=8% target; ROE/TSR in executive pay
5. Sell Tipness, la belle vie; strategic options for Hulu Japan

Cash and securities already exceed the market cap (¥bn)



Source: S&P Capital IQ balance sheet 30-Jun-2026; market cap 21-Oct-2026. Investments are at book (listed holdings marked to market; unlisted and equity-method stakes at cost/equity). Deferred tax = non-current DTL, a proxy for tax on unrealised gains.

Does the MTP aim for an efficient balance sheet? No. ROE is ~6% with ~60% of equity in cash, bonds and securities. The MTP cash plan (OCF ¥190bn) allocates ¥100bn to growth investment and >=¥76bn to capex, with returns at only >=35% of NI - set when Recruit was worth a third of today's value.

Not yet - and foreign votes are capped; the Recruit rally may do the activist's work

28.46%
Yomiuri group voting rights (16.28% direct + 12.17% indirect)

19.99%
Foreign voting rights - at Broadcasting Act cap; 23.7m shares unregistered

~75%
2026 AGM approval for Chairman (76.8%) and CEO (74.6%)

7.84%
Capital Group (peak 11.39% Jul-25) - a seller

Activism - none at NTV yet, but the precedents are next door

- **Fuji Media:** Dalton/NAVF lost the 2025 proxy fight, but the Murakami group (17.3%) won a ¥235bn buyback and a real-estate separation (Feb-2026)
- **TBS:** Monex/Japan Catalyst proposals rejected 2024-26; buyback up to ¥51bn
- **TV Asahi:** Aya Nomura (Murakami family) 1.86% (Jun-2026)
- **NTV:** ~1/3 of non-Yomiuri votes already against leadership (ISS cross-holding and ROE policies)

Where the pressure could go

- Domestic activist stake disclosure (votes are not capped for domestic holders) - 25% probability [e]
- Self-help: >=¥50bn buyback or special dividend funded by Recruit - 40% probability [e]
- Buyback ceiling: Yomiuri nears the 1/3 voting cap after ~14-15% of shares (~¥100bn) - special dividends or Yomiuri tendering solve it
- June-2027 AGM: approval rates for Yamaguchi/Sugiyama as the cross-holding ratio sits near 40%

Risk: the Board Chair is Yomiuri's president, the CEO is a Yomiuri appointee, 1 of 4 statutory auditors is independent and one 'independent' director is a Yomiuri auditor. Insiders own ~0.03%. As a foreign holder we keep the economics (dividends are now paid on refused shares) but cannot add votes.

Not as a whole - the realistic special situation is a capital-return event funded by Recruit

Transaction	Date	EV	Multiple
Warner Bros. Discovery / Skydance	Dec-25	$110.5bn	~14.2x EBITDA
TEGNA / Nexstar	Aug-25	$6.0bn	~7.2x EBITDA
ProSiebenSat.1 / MFE	Mar-25	€4.2bn	~8.7x EBITDA
MultiChoice / Canal+	Feb-24	ZAR63bn	~7.3x EBITDA
Seven West / SCA	Sep-25	A$658m	~5.3x EBITDA
KANAMEL / NTV	Mar-26	¥47.8bn	~0.6x sales, ~11x OP
Studio Ghibli 42.3% / NTV	Sep-23	n.d.	n.d.

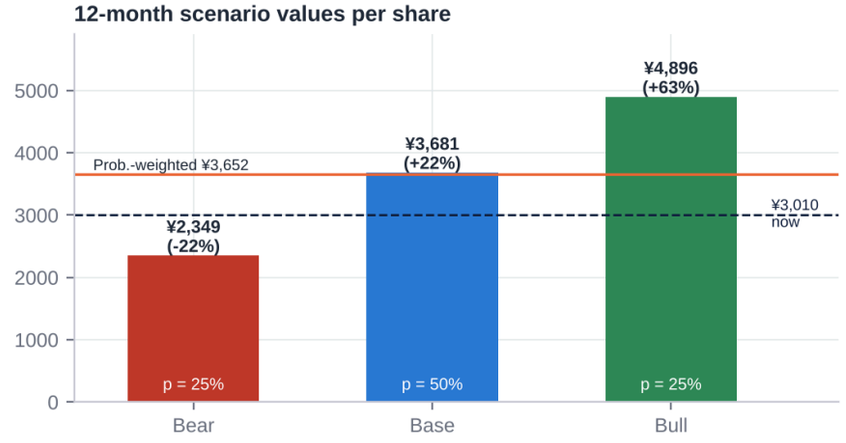
Source: S&P Capital IQ transactions; multiples [e].

What a control price would look like

- Core at 5-8x EBITDA plus non-core at full value: ¥4,749-5,626/share (+58% to +87%)
- **Impediments:** certified broadcasting holding company - no holder may vote >1/3; foreign cap full; Yomiuri 28.5% + FYCS ~10% + friendly holders >50% [e]; licence and political sensitivity
- **Realistic special situations:** (1) Recruit monetisation + buyback; (2) domestic activist; (3) Yomiuri/FYCS reorganisation (10%); (4) non-core disposals (Tipness, la belle vie, Bancho land)

Asymmetric: -22% downside vs +63% upside; probability-weighted ~¥3,650

	Bear (25%)	Base (50%)	Bull (25%)
Recruit share price	¥12,250 (-35%)	¥18,845	¥21,700 (+15%)
Core EBITDA x multiple	¥65bn x 3.5x	¥71.4bn x 5.0x	¥75bn x 6.5x
Affiliates (x book)	0.6x	0.7x	1.0x
NAV / per share	¥883bn / ¥3,614	¥1,124bn / ¥4,602	¥1,329bn / ¥5,440
Discount to NAV	35% (status quo)	20% (buybacks step up)	10% (large return / activist)
Share price	**¥2,349 (-22%)**	**¥3,681 (+22%)**	**¥4,896 (+63%)**
Implied P/B (Jun-26 book)	0.52x	0.82x	1.09x



Source: our estimates. See section 24 for assumptions (Recruit price, core multiple, NAV discount).

Reading the asymmetry

- Probability-weighted value ¥3,652 (+21%)
- Upside/downside ~2.9:1 (bull vs bear)
- Downside cushioned by ¥1,590/share of net cash and bonds
- Biggest swing factor (Recruit) is hedgeable

The 1H print and what NTV does with Recruit dominate the next two quarters

~5-6 NOV 26	**1H FY3/27 results**	New buyback (¥10bn at last year's H1); spot trend; KANAMEL P&L; Recruit sales	CRITICAL
~9-10 NOV 26	**1H results briefing**	Tone on cross-holding target after the Recruit rally; M&A appetite	HIGH
NOV 26 - MAR 27	**Recruit price & sales (TDnet)**	Size of further sales; use of proceeds	CRITICAL
ONGOING	**Large-shareholding reports**	Domestic activist entry; Capital Group exit	HIGH
~4-5 FEB 27	**3Q FY3/27 results**	NTV never raises at Q3 - sold off in Feb-25 and Feb-26	MEDIUM
MID/LATE MAR 27	**Possible guidance raise**	Pattern: raises on 21-Mar-25 and 19-Mar-26	HIGH
MID-MAY 27	**FY3/27 results, FY3/28 guide**	Return policy beyond 35%; ROE target; buyback	CRITICAL
LATE JUN 27	**AGM**	Approval for Yamaguchi/Sugiyama; possible shareholder proposals	HIGH

What would make this thesis wrong

01 Value trap / capital lock-up

Yomiuri recycles Recruit proceeds into M&A (KANAMEL-type), Tsukiji or regional rescues; ROE stays ~6% and the 35% discount persists, as in 2016-22.

02 Recruit reversal

Recruit tripled in seven months; a 40% fall costs ~¥475/share of NAV. Hedge with a Recruit short (~0.06 per NTV share).

03 Structural TV decline

TV share of ad spend 27% -> 22% in four years; core rating -24% in three years. A 10% fall in terrestrial ads cuts OP by ~¥20bn.

04 Spot normalisation overshoots

Fuji fully recovers and 2H 2026 macro weakens (Q3 GDP seen negative); spot -10-12% vs the -6% plan; consensus (13% above guide) cut.

05 Control & buyback ceiling

Foreign votes capped; no holder can exceed 1/3; Yomiuri nears the cap after ~¥100bn of buybacks. Proxy fights unwinnable.

06 Sports rights & governance

Marquee rights migrate to DAZN/Netflix; compliance scandals (Sexy Tanaka-san, Kokubun, BPO) and post-Fuji MIC scrutiny.

INVESTMENT COMMITTEE DECISION

Recommendation: BUY

¥3,650	¥418bn	35%	-¥32bn
12-mo target (+21%)	Recruit stake (57% of mkt cap)	Discount to base NAV	Market-implied core value

- The ¥735bn market cap is below non-core assets of ¥767bn (cash, bonds, listed stakes after tax, affiliates, net of minorities): the #1 broadcaster in Japan comes for free
- Recruit +189% pushed listed stakes to ~41% of net assets - double NTV's own <20% target and ISS's threshold; selling to target frees ~¥180bn after tax (24% of mkt cap)
- Catalysts: 1H results/buyback (Nov), Recruit sales, March guidance-raise pattern, FY3/28 return policy (May), June-2027 AGM, domestic activist entry
- The main risk is capital allocation under Yomiuri control, not the business: if proceeds are recycled into M&A, the discount stays - hence an event position, sized medium

Sizing & monitoring

Size as event-driven, medium conviction: 1-2% built over 4-6 weeks (¥1.5-1.7bn daily value traded). Optional Recruit hedge (~0.06 shares per NTV share) to isolate the discount.

Hard review triggers: any acquisition >¥50bn; a 1H result with continued Recruit sales but no new buyback; retreat from the <20% cross-holding target; Recruit below ¥12,000.

Track separately: TDnet extraordinary-gain notices (Recruit sales), large-shareholding reports, JPX short positions and margin data (not retrievable for this memo), June-2027 AGM agenda.